Brazil Macro Monthly

Deanchoring expectations amid fiscal concerns and heated economy

- Fed is expected to continue a gradual easing cycle amid resilient economic activity and incomplete disinflation. We see a terminal rate of 3.5%, held until 2026YE. We expect 2025 to be another year of moderate Chinese growth, and commodity prices should continue reacting to geopolitical events.
- In Brazil, activity remains solid, highlighting strong consumption and investment. We see a gradual slowdown ahead, reflecting tighter monetary policy and the reduced fiscal impulse. We expect GDP to rise by 3.5% in 2024, 2.0% in 2025, and 1.2% in 2026.
- Stronger economic activity and higher inflation will help the government reach the fiscal target in 2024 and get closer to it in 2025. The debt-to-GDP ratio, however, should continue to grow. We believe that the government's package to curb expense growth is still insufficient to guarantee fiscal sustainability over time.
- The BRL has weakened, mainly due to domestic reasons. We have revised our forecast for 2024YE from 5.7 to 6.0 reais per dollar. We see the BRL at around current levels as a more restrictive economic policy helps to rebalance the economy and reduce market volatility.
- Considering the weaker FX, heated domestic demand, and rising inflation expectations, we raised our 2025 IPCA forecast from 4.7% to 5.2%. For 2026, we see IPCA inflation edging down to 4.5% on the heels of softer economic activity.
- Fundamentals suggest higher inflation ahead. Thus, a more intense and frontloaded monetary adjustment seems necessary to tame expectations. We now see two 100-bp hikes in December and January followed by two hikes of 50 bps in March and May, taking the Selic rate to 14.25% at the peak of the tightening cycle.

Caio Megale
Chief Economist

Andres Pardo
Chief Latam Strategist

Rodolfo Margato
Economist

Tiago Sbardelotto
Economist

Alexandre Maluf
Economist

Francisco Nobre
Economist

Luiza Pineze
Intern

Contact
economiaxp@xpi.com.br

XP Forecasts

	2019	2020	2021	2022	2023	2024 (F)	2025 (F)	2026 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	3.2	3.5	2.0	1.2
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	6.3	6.8	7.6
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	5.0	5.2	4.5
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	12.25	13.25	11.25
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.9	6.00	5.85	6.00
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.4	-0.7	-0.8
Primary balance for target calculation (% GDP)*	--	--	--	--	--	-0.2	-0.4	-0.5
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.3	-0.6	-0.7
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	73.83	78.0	82.0	85.6
Trade Balance (USD Bn)	29.6	35.7	42.3	51.5	92.3	67.0	73.5	78.0
Exports (USD Bn)	225.8	210.7	284.0	340.2	343.8	344.0	353.5	360.6
Imports (USD Bn)	196.2	175.0	241.7	288.7	251.5	277.0	280.0	282.6
Current Account (USD Bn)	-65.0	-24.9	-40.4	-40.9	-21.7	-56.0	-52.0	-47.5
Current Account (% GDP)	-3.5	-1.7	-2.4	-2.1	-1.0	-2.5	-2.4	-2.1
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	70.0	66.0	64.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.8	3.2	3.1	2.8
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,190	2,198	2,138	2,265
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,943	11,784	12,676	13,409

* Excludes court-ordered payments beyond the limits and aid to RS

Source: IBGE, BCB, Bloomberg, XP

Foreword – Pulling the brakes

The Brazilian Central Bank's task is becoming more challenging. Inflation and inflation expectations remain on the rise, pushed by tight spare capacity in the economy, FX depreciation, and higher domestic food prices. Our IPCA forecasts are above the target range for 2024 and 2025. If the BCB´s willingness to bring inflation to the target in 2026 is for real – and we believe it is – monetary policy response has to be (even) more impetuous.

Thus, we now see the Copom stepping up the tightening pace again to 100 bps in December. We have also lifted our terminal Selic rate to 14.25% from 13.25%. We believe the Copom will prefer to be bolder in the short turn in order to put the train back on track in a timely fashion rather than trying to smooth the cycle.

A fast approval in Congress of the measures to curb mandatory expenses should also help to tame market volatility and inflation expectations.

Fiscal policy could be more helpful, but the expenditures will continue to grow at least 2.5% above inflation with or without the fiscal measures. Moreover, we see quasi-fiscal measures gaining momentum as the 2026 elections approach.

In the report, we present our 2026 forecasts for the first time. The main hypothesis is that the more restrictive economic policy (tighter monetary policy and less expansionary fiscal policy) will allow the economy to rebalance. In this scenario, we see IPCA inflation coming back to the target range and the Copom gradually and carefully cutting rates. Domestic demand tends to lose steam through 2025 and 2026, but GDP growth will remain positive, particularly sustained by record-high agriculture output.

On the currency, considering that the FX is already weak vis-à-vis its fundamentals - terms of trade, purchasing parity, interest rate differentials – we see the parity BRLUSD moving roughly sideways in nominal terms in 2025 and 2026, amid considerable volatility created by both domestic and external reasons.

Global backdrop – Finding the post-pandemic normality

Francisco Nobre

Bullish market reaction to US post-election outcomes. As argued in our last report, the Red Sweep is likely to intensify potential economic impacts of Trump's election: higher US economic growth (although lower growth elsewhere), stronger USD, additional inflationary pressures, higher rates, intensified fiscal concerns, and increased trade barriers (especially with China). Since then, cabinet officials named by Trump have led to increased market optimism, especially Scott Bassent, as Treasury Secretary, which has reduced concerns on the fiscal front.

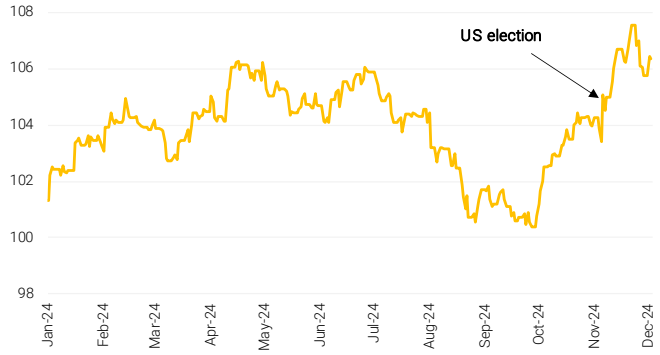
We expect the US economy to remain strong in 2025. Recent indicators show that economic activity remains solid, and GDP is poised to grow by over 2% this year – more than double consensus expectations at the start of the year – with a strong contribution from personal consumption. Meanwhile, even though inflation has eased, it remains somewhat above the 2% target. For 2025, we see the US economy slowing amid still restrictive monetary policy to a 1.5% GDP growth rate, although still showing a solid performance with the unemployment rate remaining low (below 4.5%). We see inflation lingering at around 2.5% throughout the year, somewhat above the Fed's 2% target. Our scenario does not consider a material increase in import tariffs from China, which would add an upward bias to our projection.

Against this backdrop, the Fed should continue easing gradually. We expect the Fed to cut once more this year in December, after which we expect a rate cut in every other meeting throughout next year for a terminal rate of 3.5% by yearend. In 2026, we expect the Fed to remain on hold. In any case, we expect another year of high volatility in Treasury yields as markets continue to speculate on the post-pandemic terminal rate level, which tends to be reflected in global asset prices.

In Europe, room for monetary easing is clearer, although graduality remains appropriate. Inflation continued to ease in 2024, although more modestly than initially expected. Meanwhile, economic growth remained stagnant throughout the year. We believe the Eurozone outlook is consistent with further gradual monetary easing, and we see space for another 100 bps of rate cuts, ending its normalization process with the deposit rate at around 2.25% by 3Q25. In the UK, we expect a patient easing cycle by the BoE and a terminal Bank Rate of 3.25% by 2025 yearend.

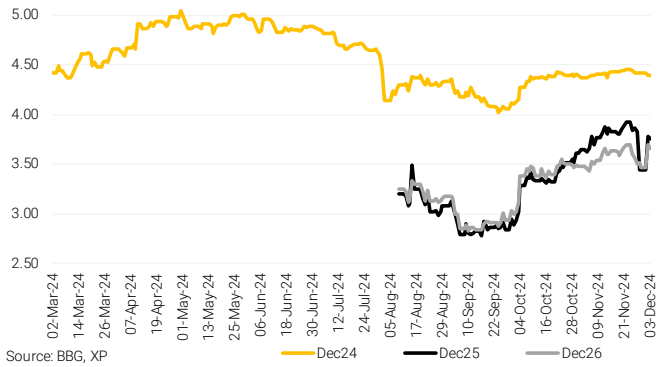
Moderate Chinese growth ahead. 2024 was marked by material fiscal and monetary stimuli aiming to offset China's struggle to spur an economic turnaround amid mounting

USD strength post election outcome
DXY dollar index



Source: BBG, XP

Markets are pricing in on a higher teminal rate by the Fed
Implied by interest rate swaps (annual rate, %)

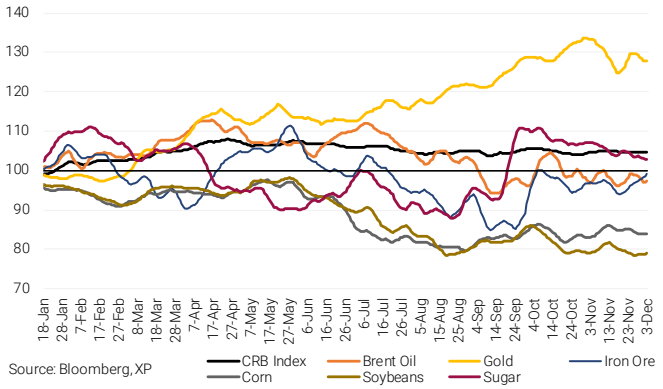


Source: BBG, XP

challenges such as disinflation risks, sluggish exports, and the housing market crisis. In our view, these measures should allow China to achieve its 5% growth target set for 2024, although they are unlikely to increase productivity and potential output. Underlying measures of the economy remain sluggish amid the weak labor market and deteriorating property sector. Hence, we still see growth slowing to 4.5% next year despite our expectation of continued monetary and fiscal stimuli.

Commodity prices should continue to react to global events. Commodity prices, which are sensitive to China's growth dynamics, have been much more stable lately, while Brent oil prices continue to react to ongoing geopolitical instability in the Middle East. Gold prices outperformed other commodities throughout the year as global uncertainty sent investors in search of safe-haven assets. Following years of very high volatility, the virtual stabilization of commodity prices at current levels (grains, metals, etc) favors the global disinflation process and tends to be marginally beneficial to commodity exporters, such as Brazil. Still, geopolitics should remain another key risk for 2025 as conflicts around the globe will unlikely come to a resolution soon and will continue to weigh on energy prices, particularly under the new Trump administration.

Overall commodity prices relatively stable recently
Commodity indices (Jan-2024=100)



Source: Bloomberg, XP

BRAZIL – Deanchoring expectations amid fiscal concerns and heated economy

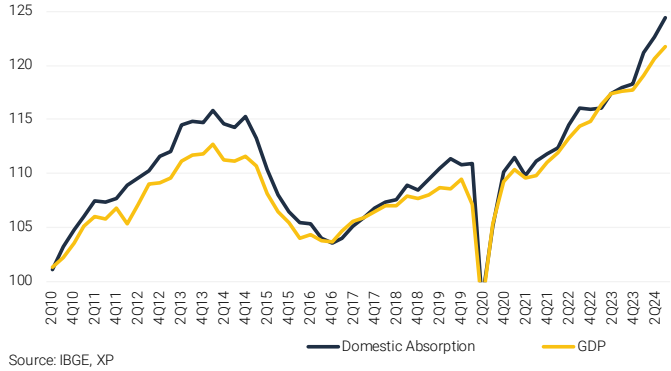
Activity – Strong GDP in the short term; higher risks ahead

Rodolfo Margato

Brazil's GDP grew by around 1% QoQ for the third consecutive quarter. As reported yesterday by the IBGE (national statistics office), GDP increased by 0.9% QoQ in 3Q24 (4.0% YoY), again above initial estimates. Domestic demand remained strong, on the heels of the solid performance in consumption and investment. On the supply side, 8 of the 12 sectors advanced in the quarterly comparison.

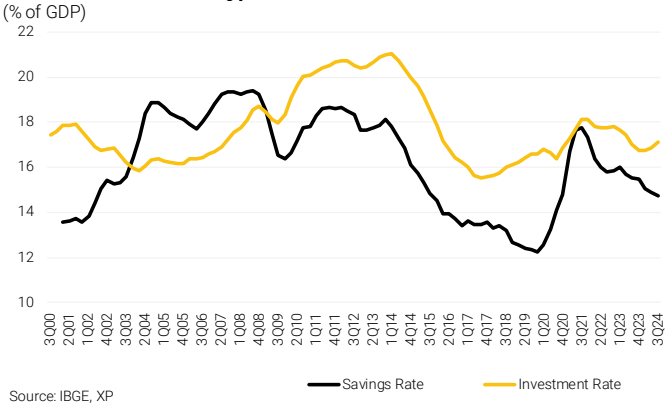
The labor market is solid, with emphasis on rising real income. The unemployment rate has been hovering at its lowest levels since 2012 (between 6.0% and 6.5%). The employed population expanded at a more moderate pace in October, although signs remain positive in most activities. Furthermore, real wages continue to rise, reinforcing the tight labor market scenario.

Domestic demand gained steam throughout 2024
Seasonally adjusted series (1Q10 = 100)



Source: IBGE, XP
* Domestic Absorption = + Investments + Household Consumption + Government Consumption

Investment rate has risen recently, but we see growing risk of trend reversal in the coming years
(% of GDP)



Source: IBGE, XP

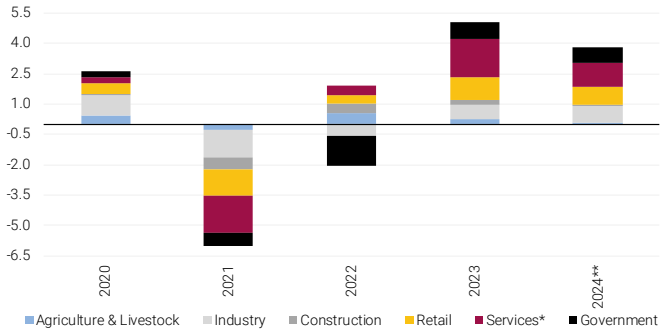
We expect GDP to expand by 3.5% in 2024. Economic activity continues on an upward trajectory, despite initial signs of moderation in some sectors. For now, we estimate a 0.5% QoQ gain for 4Q GDP (4.1% YoY). Accordingly, we calculate a statistical carryover effect of 1.1% for 2025 GDP.

Gradual slowdown ahead… We believe that the Brazilian economy will grow at a slower pace throughout 2025, reflecting the additional tightening of monetary policy, the reduced fiscal stimulus, and the end of slack in production factors. According to our projections, the part of GDP more sensitive to economic policy (manufacturing industry, construction, retail, and services) will rise by around 1.5% next year. Nonetheless, as we have highlighted, agriculture and the extractive industry are likely to grow strongly, especially grain production. **Therefore, we anticipate a 2.0% increase for 2025 GDP.**

… but risks are rising. The recent increase in domestic risk factors – particularly in relation to fiscal sustainability – challenges our base case of a 'soft landing' in activity in the coming quarters. For example, there are growing concerns about the dynamics of credit concessions and the negative effects on private investment.

Lower economic growth in 2026 amid high inflation and interest rates. The lagged effects of the more contractionary monetary policy will impact domestic demand in 2026. **Thus, we project a 1.2% increase in GDP for that year.** We acknowledge, however, the high uncertainty surrounding this forecast, mainly due to the unknown stance of fiscal (and quasi-fiscal) policy in the year of the general election.

Real average labor earnings grow in all sectors this year
Sectoral contribution (pp)



Source: IBGE, XP
* Services = Transportation + Food & Accommodation + Communication + Other Services + Housing
** YTD

GDP Breakdown — XP Forecasts (%)

	2023	2024	2025	2026
Agriculture & Livestock	16.3	-2.8	6.0	3.0
Total Industry	1.7	3.3	2.1	0.9
Total Services	2.8	3.8	1.7	1.1
Net Indirect Taxes	2.3	5.4	1.6	1.4
Total GDP	**3.2**	**3.5**	**2.0**	**1.2**
Household Consumption	3.2	5.2	2.2	1.8
Government Consumption	3.8	2.0	1.9	2.3
Gross Fixed Capital Formation	-3.0	6.8	0.5	-1.5
Exports	8.9	4.0	3.7	2.5
Imports (-)	-1.2	14.2	1.5	2.0

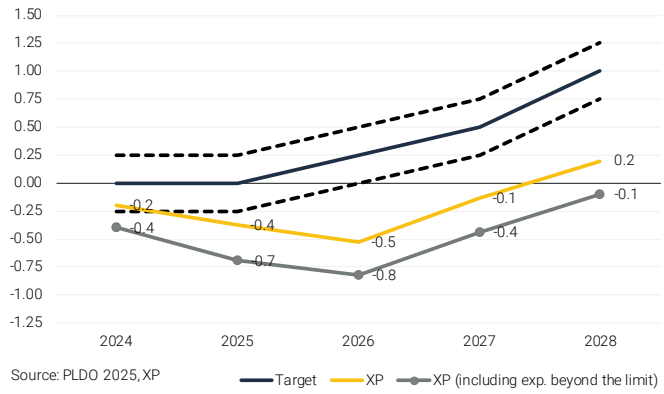
Source: IBGE, XP

Public finance – Growth, inflation and FX boost revenue and help the government to meet the target

Tiago Sbardelotto

Rising revenue and weaker execution support the achievement of the primary result target this year. Revenue-raising measures had a mixed performance in 2024, with most of what was included in the budget law showing results below the estimates. However, the economic scenario - stronger activity, higher inflation, and a depreciated exchange rate - has favored an increase in revenue in recent months. In addition, we see the spending execution up to BRL 36 billion below projections. Our updated forecast for the total primary deficit is BRL 46.8 billion (0.4% of GDP), slightly lower than what we projected last month (BRL 54.0 billion or 0.5% of GDP). The result, for the purposes of calculating the primary balance target, should reach BRL 22.0 billion (0.2% of GDP), approximately BRL 6.8

Economic scenario improves 2025 result, however projections are still off target
Primary balance (% of GDP)



Source: PLDO 2025, XP

above what is required to reach its lower limit (BRL 28.8 billion deficit).

Inflation, activity, and a rising exchange rate also have a positive effect on 2025. We believe that many revenue-raising measures included in the 2025 budget are likely to disappoint (see table). However, the economic scenario should support revenue increase and reduce the need for new measures next year. **Thus, we expect a total deficit of BRL 88.3 billion (0.7% of GDP), already considering the payment of court-ordered payments outside the spending limit, or BRL 47.5 billion (0.4% of GDP) excluding these payments**. This figure is only BRL 16.5 billion below the lower limit of the primary balance target (BRL 31.0 billion) - so there is the need for some additional effort in raising revenue or cutting spending.

Tax collection measures BRL Bn

	PLOA 2025	XP
Credit recovery at board of tax appeals (CARF)	28.6	1.0
Tax transactions	57.5	20.0
Review of railway concession contracts	10.0	6.0
Recovery of credits registered in active federal debt	15.5	-
Special control over the use of tax benefits	20.0	10.0
Compensation for the payroll exemption	25.8	6.6
Increase in the income tax rate on IoE	6.0	-
Increase in CSLL rates	14.9	-
Change in bank loss deductions	-	-
Minimum tax on profits	-	-
Total	**178.3**	**43.6**

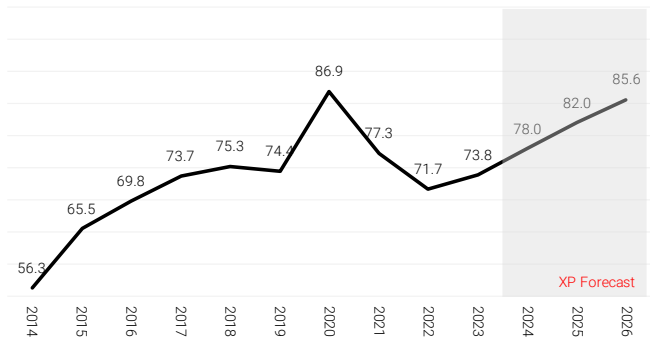
Source: RARDP, XP. NI: Não informado

The 2026 fiscal outlook remains challenging. The slowdown in economic activity (and inflation) should reduce the pace of revenue growth. On the other hand, higher inflation in 2025 will lead to a stronger rise of the spending limit for 2026. With this combination, we estimate a deficit of BRL 114.2 billion (0.8% of GDP), or BRL 70.1 billion (0.5% of GDP) excluding court-ordered debt expenses. It is worth noting, however, that the primary balance target for 2026 is 0.25% of GDP, or BRL 33.7 billion, and the lower limit of the target is zero. We therefore see the need for the government to present new revenue-raising measures for 2026's budget.

States results improve, but municipalities register a record-high deficit. While states have accumulated a surplus of almost BRL 35 billion this year, municipalities have accumulated a deficit of BRL 16.6 billion, the worst result for the period in the historical series. This result causes concern, because any imbalance in subnational entities may require new financial aid from the Union. Finally, we estimate a deficit of BRL 33.0 billion in 2024 (0.3% of GDP), BRL 76.5 billion in 2025 (0.6% of GDP) and BRL 93.4 billion (0.7% of GDP) in 2026 for the consolidated public sector.

Debt is expected to keep rising in the years to come. Despite the recent improvement, the primary balance for this and the next few years will not be enough to guarantee stabilization of the public debt. Moreover, we see additional pressure on nominal interest costs due to the increase in the Selic rate (see monetary policy section) and the risk premium. For this reason, we estimate that the ratio of general government gross debt to GDP should reach 78.0% in 2024, 82.0% in 2025 and 85.6% in 2026. Public sector net debt, meanwhile, is expected to grow more moderately thanks to currency devaluation. We project that the DLSP/GDP ratio will end this year at 62.7% and next year at 66.0% in 2025 and 68.9% in 2026.

Public debt should grow by 8 p.p. of the GDP by 2026
General government gross debt (% of GDP)

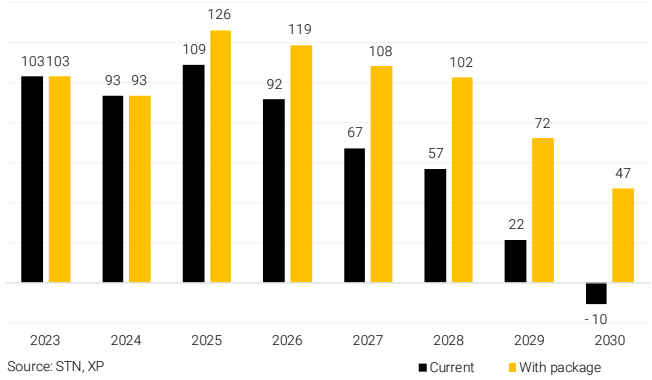


Source: BCB, XP

Measures to curb expense growth presented by the government fall short of expectations. Despite some progress, we see the package as falling short of what is needed to achieve the sustainability of the new fiscal framework. We

estimate savings of BRL 17.6 billion in 2025 and BRL 24.5 billion in 2026, well below what the government announced (BRL 30 billion in 2025 and BRL 40 billion in 2026). In terms of composition, we see the change in the minimum wage policy as positive, but its effects should only be significant in the long term. The changes to the bonus wage and the BPC were too timid and gradual to have a major impact. Finally, the rest of the package is based on one-off measures, mostly resulting from a review of benefits or increased flexibility in budget management. In this sense, we believe that the package can help to maintain the framework spending limit in 2026 and 2027, but further reforms will still be necessary to ensure that discretionary spending is not squeezed from 2028 onwards.

Even with recent measures to curb mandatory expenditures, a new reform will be needed after 2028
Room for discretionary expenses (BRL bn)



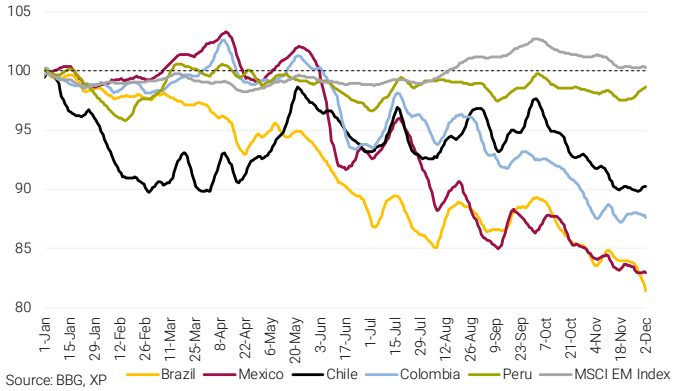
Source: STN, XP

External Accounts – BRL should consolidate at current (weak) levels

Rodolfo Margato

Ongoing currency depreciation. The Brazilian exchange rate rose above 6.00 reais per dollar at the end of November, around 20% weaker YTD. The recent deterioration reflects growing fiscal and political concerns, following the perception that the expenditure cut package was insufficient (see "Public Accounts" section above). External factors, such as Donald Trump's election in the U.S. and lower commodity prices, have also contributed to the movement. We believe the drivers behind the recent depreciation of the BRL are unlikely to dissipate in the short term, keeping risk premiums elevated for Brazilian financial assets.

The BRL depreciated more than its Latin American peers in 2024
Exchange rate index, Jan/2024 = 100 (upward move = appreciation).

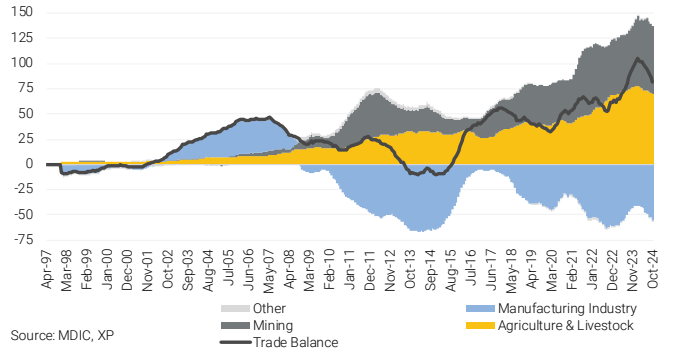


Source: BBG, XP

BRL should remain at around current levels. We see room for some appreciation in 2025, largely due to the Central Bank's more proactive stance (see "Monetary Policy" section below). We project the exchange rate at 5.85 reais per dollar by the end of 2025. However, uncertainties surrounding the domestic macroeconomic environment – especially regarding fiscal and parafiscal policy – could lead to renewed exchange rate volatility, particularly as the election nears. Consequently, we project the exchange rate at 6.00 reais per dollar by the end of 2026.

Current account deficit to fall slightly ahead, after a significant increase this year. Declining export prices and increasing import volumes have weighed on the trade balance this year. We estimate a trade surplus of USD 67.0 billion in 2024, down from USD 92.3 billion in 2023. These factors, coupled with a larger deficit in the services account, have worsened the current account balance. We forecast a deficit of USD -56.0 billion this year (-2.5% of GDP), compared to USD -21.7 billion last year (-1.0% of GDP). Looking ahead, we expect a more moderate increase in the deficit, as the economic slowdown is likely to dampen demand for imported goods and services (see

Narrower trade surplus in 2024 due to rising import volumes and lower export prices
12M (USD Bn)

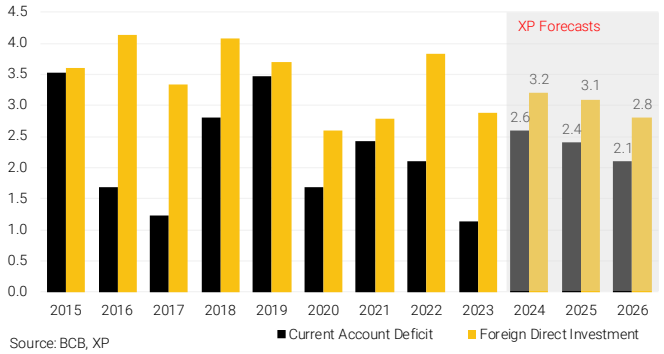


Source: MDIC, XP

"Economic Activity" section above). At the same time, we maintain a bearish outlook on international commodity prices. As a result, we project the current account deficits at USD 52.0 billion in 2025 (-2.4% of GDP) and USD 47.5 billion in 2026 (-2.1% of GDP).

FDI net inflows to lose momentum. In the 12 months rolling sum up to October, net inflows of FDI reached USD 66.0 billion (3.0% of GDP), consistent with our USD 70.0 billion forecast for 2024 (3.2% of GDP) and up from USD 62.0 billion in 2023 (2.9% of GDP). However, heightened domestic risk perception and weaker economic activity, both in Brazil and globally, are likely to weigh on FDI inflows. Accordingly, we project net inflows of USD 66.0 billion in 2025 (3.1% of GDP) and USD 64.0 billion in 2026 (2.8% of GDP).

We foresee a slight decline in the current account deficit and a slowdown in FDI inflows in 2025 and 2026
(% of GDP)



Source: BCB, XP

Inflation – We forecast IPCA at 5.2% in 2025 and 4.5% in 2026

Alexandre Maluf

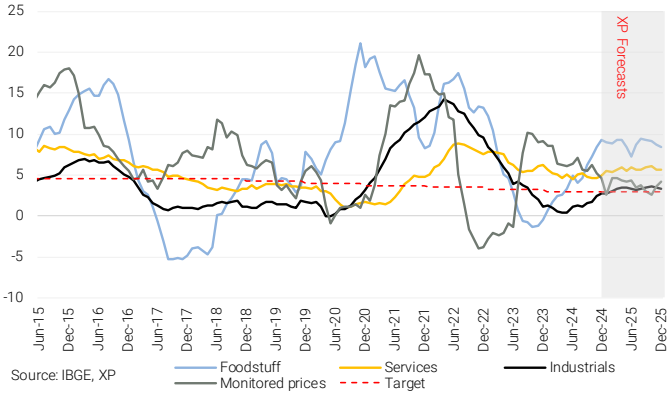
We see IPCA inflation at 5.0% in 2024. The IPCA-15 index showed that core metrics and services are on an upward trajectory, indicating short-term pressure and a challenging prospective scenario. On a more benign note, we highlight the ongoing moderation in industrial goods prices. Nonetheless, we have raised our 2024 IPCA projection from 4.9% to 5.0%.

For 2025, we raised our IPCA projection from 4.7% to 5.2%. Firstly. We have incorporated the weaker exchange rate into our scenario (see the External Sector section above), which should impose an acceleration, particularly on industrial goods inflation. Thus, we have raised our projection for this group from 2.7% to 3.3%. This is a historically low variation but already above the inflation target.

Secondly, food prices should remain under pressure. In our previous reports, we highlighted the impact of the sharp rise in cattle prices on protein inflation in the IPCA. Additionally, we have incorporated even more significant increases in soybean oil prices – in response to the depreciation of the currency and the impacts of the Future Fuel Bill, which raises the biodiesel blend in diesel – as well as in beverages, reflecting a tight supply scenario for coffee prices. Also, considering other specific adjustments due to the exchange rate, we have raised our projection for 'food at home' from 7.2% to 8.5% for next year.

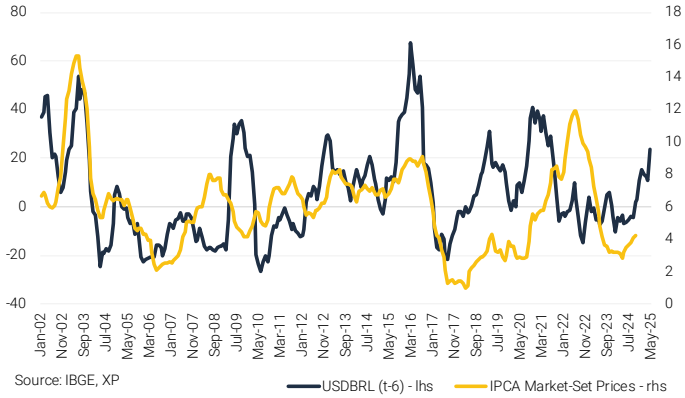
Finally, services inflation is expected to continue rising, reflecting strong demand and tight labor market. Economic fundamentals continue to indicate an acceleration in service prices. Inflation expectations are rising, while economic activity and the labor market remain heated. Real wages are 4.6% up YTD. Moreover, inflation inertia is likely to weigh on rental prices, while prices for 'food away from home' should

We see all IPCA components above the target in 2025
IPCA 12M (%)



Source: IBGE, XP

Depreciated exchange rate should put pressure on 2025 IPCA
Annual change (%)



Source: IBGE, XP

respond to the higher food prices mentioned above. All considered, we revised services inflation from 5.2% to 5.6% in 2025.

We see some deceleration for the 2026 IPCA, to 4.5%, as tighter monetary policy bites. Despite the high degree of uncertainty for this horizon, our medium-term scenario indicates an IPCA still unanchored, close to the upper limit of the target. The exchange rate is expected to remain depreciated, as well as high inflation expectations – discussions on fiscal policy will be renewed. On the economic activity side, we expect an accommodation of domestic demand (see the activity section above), but not enough for inflation to approach 3% over 2026.

IPCA Groups — 12M (%)

	2022	2023	2024 (F)	2025 (F)	2026 (F)
Administred prices	-3.8	9.1	4.6	4.2	4.7
Market-set prices	9.3	3.1	5.2	5.5	4.4
Food at home	13.2	-0.5	9.3	8.5	5.2
Industrials	9.6	1.1	2.8	3.3	3.9
Services	7.6	6.2	4.9	5.6	4.4
IPCA headline	**5.8**	**4.6**	**5.0**	**5.2**	**4.5**

Source: IBGE, XP

Monetary Policy – Jumping ahead of the curve

Caio Megale

The Copom's task of bringing inflation to the target is becoming more challenging. Recent readings show IPCA running above the upper bound of the target range (4.8% vs. 4.5%). Activity indicators suggest narrowing spare capacity in the economy, putting pressure on production costs. The exchange rate is weakening further, which also pressures costs, food prices, and imported final consumption goods.

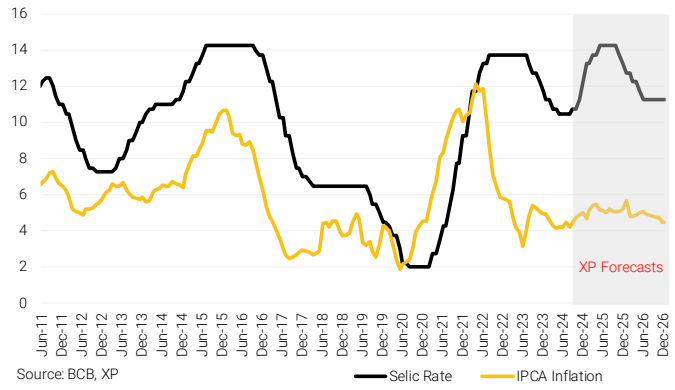
Against this backdrop, our IPCA numbers for our entire forecasting horizon are above or at 4.5% (see inflation section above). We believe the same trend will be seen in the Focus Survey with market participants in the coming months. Considering that the Copom will continue to aim inflation at the target range - we strongly believe it will – a more forceful policy reaction seems necessary.

Faster pace, higher terminal rate. We are once again revising our scenario to contemplate a tighter monetary policy outlook (we had already done that after the last Copom meeting, on Nov 6). We now see two 100-bp hikes in December and January; followed by two hikes of 50 bps in March and May; **taking the Selic rate to 14.25% at the peak of the tightening cycle**.

Risks remain tilted to the upside, if the deachoring of nominal variables (exchange rate, expectations) continues ahead.

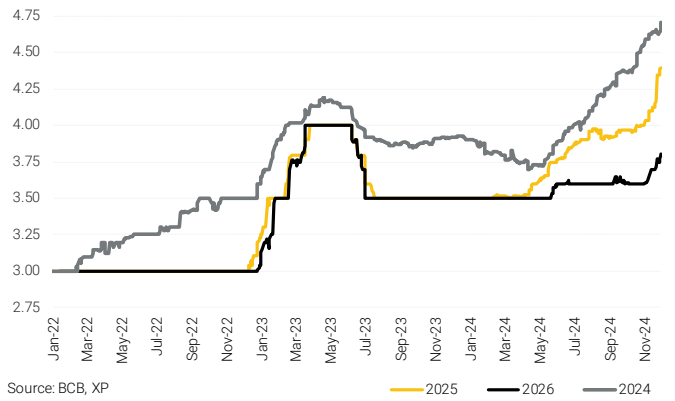
We continue to see some easing starting at the end of 2025. We see the domestic demand cooling throughout the year, and inflation returning to the target range in 2026/2027. That would allow the Copom to reduce the restrictiveness of monetary policy at some point. At the end of the day, real interest rates will be at around 9.0%, considerably above any estimate of the neutral rate (that hovers around 5.0-6.0%).

Faster pace, higher terminal rate
p.a. (%)



Source: BCB, XP

Inflation expectations have risen sharply recently
Median market forecast from Focus Survey (%)



Source: BCB, XP

11.25% in 2026. Thus, we see two 50-bps cuts in November and December of 2025, and four additional cuts in the first half of 2026 that would take the Selic to 11.25%. That would be slightly above the neutral level in our view, which is important to consolidate that IPCA inflation will stay below the upper bound of the target range from 2027 onwards.

XP Forecasts

	2019	2020	2021	2022	2023	2024 (F)	2025 (F)	2026 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	3.2	3.5	2.0	1.2
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	6.3	6.8	7.6
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	5.0	5.2	4.5
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	12.25	13.25	11.25
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.9	6.00	5.85	6.00
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.4	-0.7	-0.8
Primary balance for target calculation (% GDP)*	–	–	–	–	–	-0.2	-0.4	-0.5
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.3	-0.6	-0.7
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	73.83	78.0	82.0	85.6
Trade Balance (USD Bn)	29.6	35.7	42.3	51.5	92.3	67.0	73.5	78.0
Exports (USD Bn)	225.8	210.7	284.0	340.2	343.8	344.0	353.5	360.6
Imports (USD Bn)	196.2	175.0	241.7	288.7	251.5	277.0	280.0	282.6
Current Account (USD Bn)	-65.0	-24.9	-40.4	-40.9	-21.7	-56.0	-52.0	-47.5
Current Account (% GDP)	-3.5	-1.7	-2.4	-2.1	-1.0	-2.5	-2.4	-2.1
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	70.0	66.0	64.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.8	3.2	3.1	2.8
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,190	2,198	2,138	2,265
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,943	11,784	12,676	13,409

* Excludes court-ordered payments beyond the limits and aid to RS

Source: IBGE, BCB, Bloomberg, XP

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